

Performance Report

The Hillary Institute of International Leadership & Subsidiary
Entities

For the year ended 31 March 2024

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Trust Information

The Hillary Institute of International Leadership & Subsidiary Entities
For the year ended 31 March 2024

Date of Trust Deed

17 February 2005

IRD Number

039-811-650

Trustees

Anna Kominik (Chair, Trustee HIIL & Director EHF)

Camia Young (Trustee HIIL and Director EHF)

Andrew Hoppin (Trustee HIIL and Director EHF)

Ian Short (Trustee HIIL and Director EHF)

Dinnie Moeahu (Trustee HIIL and Director EHF)

Auditors

Moore Markhams, Wellington Audit

Bankers

Bank of New Zealand

Entity Information

The Hillary Institute of International Leadership & Subsidiary Entities For the year ended 31 March 2024

Legal Name of Entity

The Hillary Institute of International Leadership & Subsidiary Entities

Entity Type and Legal Basis

Trust

Registered Charity

Registration Number

CC38369

Entity's Purpose or Mission

The Hillary Institute of International Leadership (HI) recognises, rewards and nurtures great leadership. It seeks to recognise transformative leaders' mid-career that are making outstanding contributions towards improving the human condition. The Hillary Institute currently has eleven laureates who are global leaders in climate action and social justice.

Entity Structure

The Hillary Institute is a charitable trust, launched on 17th February 2005. It is the 100% shareholder of the Edmund Hillary Fellowship (EHF), a limited liability company with charitable status. EHF serves a Fellowship of entrepreneurs, investors, innovators, scientists and creatives who are committed to Aotearoa NZ as a basecamp for global impact.

HI was founded by Mark Prain, launched by Sir Edmund Hillary, with the Hon Helen Clark, former Prime Minister for Aotearoa NZ, as patron.

Main Sources of Entity's Cash and Resources

HI's primary source of funds has been a mixture of endowments and grants, and an annual licence fee from EHF, although this fee has been waived since FY22. HI's current cash comes from reserves accumulated over the past decade. The Edmund Hillary Fellowship has been historically been funded through a mix of government grants, Fellowship acceptance fees, donations and sponsorships.

Main Methods Used by Entity to Raise Funds

The Hillary Group is moving to a new business model based on Annual Donations and Fellowship Fees, supported by modest event and sponsorship earnings.

Entity's Reliance on Volunteers and Donated Goods or Services

The Hillary Institute is not a volunteer-based organisation, however Trustees, Laureates and Fellows contribute substantive 'in-kind' resourcing in support of the purpose.

Address

GridAKL, John Lysaght Coworking Startup Space
101 Pakenham Street West
Auckland, 1010

Website: <https://www.hillaryinstitute.com>

Approval of Financial Report

The Hillary Institute of International Leadership & Subsidiary Entities For
the year ended 31 March 2024

On this date the Trustees approve and issue the financial statements of The Hillary Institute of International Leadership & Subsidiary Entities for the year ended 31 March 2024.

APPROVED

For and on behalf of the Trustees.



Anna Kominik, Chair, Hillary Institute and Edmund Hillary Fellowship

Date: 07 October 2024



Camia Young, Deputy Chair, Hillary Institute and Edmund Hillary Fellowship

Date: 07 October 2024

Statement of Service Performance

Edmund Hillary Fellowship Limited
For the year ended 31 March 2024

The 2023/24 Financial Year reports the consolidated accounts for the Hillary Institute of International Leadership (the Hillary Institute) and the Edmund Hillary Fellowship Ltd (EHF), its subsidiary.

The Hillary Institute of International Leadership

Description of Entity's Outcomes

The Hillary Institute's mission is to recognise, reward and nurture great leaders, currently in play, who are focussed on solutions to the most pressing issues facing humanity such as climate change, poverty, disease, peace and justice. Each year, the Hillary Institute would identify, select and recognise a new 'Laureate'. Our purpose is to celebrate and support those whose work can be amplified with peer support, leverage and goodwill.

The Hillary Institute was formally launched in 2007. It now has 11 Hillary Laureates, and has awarded three Hillary Step prizes.

Description and Quantification of the Entity's Outputs

The following sets out the Hillary Institute's core objectives and how these were met.

Identifying international leaders who have made outstanding contributions: The Hillary Institute has paused the identification of international leaders as new Laureates, as we focus on a new, integrated strategy and business model for the Hillary Institute and EHF.

Recognising through a substantial financial prize/public recognition: HI is recognising the existing 11 Laureates through a new book, (title yet to be confirmed) written by Hillary Institute Founder and Kaitiaki (Guardian) Mark Prain, due to be published later in 2024. The book speaks to the 'Hillary Step' leadership challenge of holding fast to purpose and maintaining 'stubborn optimism'. The book is intended to inspire hope and agency and demonstrate change is possible: *'If we put to work our full potential, to unlock the Hillary Step in all of us'*.

Conducting leadership-related programmes in NZ with cutting edge thinking: The Hillary Institute and EHF delivered in 2023/24 a series of in-person and online 'Mission Studio' climate workshops, which brought together leaders from Iwi, Government, industry, investment, climate action and social impact to engage around levers for climate action in New Zealand, particularly around nature restoration. These workshops and events drew from Laureate-led models and thinking, such as Johan Rockström's work on Planetary Boundaries.

Laureate Aimée Christensen gave a keynote talk for the February 2024 Impact Springboard, curated and hosted by the Hillary Institute & EHF. In her talk 'Transforming New Zealand into a Low-Carbon Economy by 2050', Aimée shared global climate trends and risks, case studies featuring innovative approaches, and thought leadership on how New Zealand could accelerate the transformation of its food system to significantly reduce its carbon emissions.

Inspiring through communications and publication activities generally - The transformative work of Laureates was also celebrated, and shared in NZ and globally throughout the year, which included:

- Highlighting calibre of Laureates in briefings and meetings with Government and stakeholders
- Profiling via social media and stakeholder updates, Laureates' successes and achievements
- Sharing and amplifying their work and advocacy through social media, eg. COP28.
- Creating and sharing video content that showcases thought leadership, eg. Meagan Fallon on tackling complex challenges.



Conferences, seminars, workshops to develop leading edge contribution and practices: As highlighted above, the Mission Studio events drew on Laureate-led models and concepts as part of impact-oriented sessions focused on climate action. Impact Springboard keynote featured a Laureate sharing leading thinking on solutions to help New Zealand reach its carbon emission targets.

The Edmund Hillary Fellowship Ltd

Description and Quantification of the Entity's Outputs

The Edmund Hillary Fellowship (EHF) was founded in 2016, in partnership with the New Zealand Government to attract world-class international and local innovators, entrepreneurs and investors. EHF's purpose is to partner with Aotearoa NZ to find and build solutions to our toughest challenges. The vision is that Aotearoa NZ inspires global leadership and solutions for future generations, built on principles of Tangata Tiriti and values of Sir Edmund Hillary. We define 'impact' as helping Kiwi ventures scale globally, and building innovative solutions that create positive lasting economic, social, cultural and/or environmental value for New Zealand and the world.

The pilot phase of attraction and selection for the Global Impact Visa programme was completed in December 2022 after a Covid-related extension. The contract with the New Zealand government concluded on 30 September, 2023. Over 500 Fellows have come through the programme, of which over 400 are international.

Description and Quantification of the Entity's Outputs

EHF's core focus in 2023/24 has been to conclude Fellow's induction and integration into Aotearoa NZ after Covid-19 border disruption, and to focus on building pathways for Fellows to amplify impact, and a new business model.

As New Zealand's borders started to reopen in 2022, EHF redeveloped welcome plans and inducted over 200 Fellows (international and local) to Aotearoa NZ and the Fellowship through multi-day induction experiences. In partnership with Te Āti Awa Taranaki Whānui, EHF introduced Fellows to Te Tiriti o Waitangi, as foundational knowledge, which was deepened through understanding of the Māori worldview during the Welcome Experience.

EHF also partnered with government, local agencies and sectors to connect Fellows into the innovation communities, regions and sectors, through a series of satellite events. This formal induction programme concluded in May 2023 with the final Welcome Experience.

In parallel, EHF identified a shift in strategy to focus on amplifying impact, and a new business model. It piloted a Mission Studio - a collaborative pilot programme based on Mission-led innovation to address our critical climate challenges. The organisation also focussed on building foundations for the next phase of the Fellowship, which included:

- introducing a new online resource hub for Fellows to support engagement into NZ;
- initiating regular Fellow/ecosystem events to connect Fellows and NZ leaders, and began a new monthly spotlight series that showcased Fellows and transformative ventures in specific sectors/areas;
- launching 'purpose communities' which brought groups of like-minded Fellows together around their purpose;
- engaging with the new Government and Ministers on Fellows' impact and continuation of the visa programme;
- successfully launching its first annual donations campaign in support of a new business model;
- progressing the development of EHF's Kawa & Tikanga (protocols) grounded in Te Ao Māori principles.

EHF has met its contractual obligations to Fellows and MBIE as highlighted in table 1 below.

Table 1: FY24 outputs against commitments to Fellows and MBIE.

Integrating Fellows into Aotearoa NZ					
Commitment		Status	2024	2023	
	Induction to NZ - Welcome Experience	Achieved	● Final 3-day Welcome Experience in May, including a pōhiri (Waiwhetū Marae) by Te Āti Awa ● Integration of Te Ao Māori into programme including whakawhānaungatanga, te ao Māori, and Tikanga Māori ● Online two-part Te Tiriti training with digital resources and recommended reading provided ● Launch of a new online resource hub providing all Fellows links to information about NZ, links to support & resources, connections to NZ organisations ● Support for purpose communities, connecting Fellows to other like-minded Fellows around purpose & impact (e.g Pacific Partnerships; Climate & NatureAction)	3 x 3-day Welcome Experiences completed*, all which included pōhiri (Waiwhetū Marae) or Mihi Whakatau by Te Āti Awa Integration of te ao Māori into programme Two-part Te Tiriti online training plus digital resources and recommended reading 1 x online NZ history session with NZ Historian Jock Phillips Links to online resources as induction support - e.g R&D Tax incentive, relocation specialists, immigration support	
	Run programmes to support better integration into NZ and regions		Achieved	● May Fellows’ hui to connect all Fellows, plus other Fellow-led meet-ups in Akld, Wgtn, Chch, Tasman/Marlborough. ● Tātaki Auckland Unlimited and Kāpiti Council business days/hosting events, and Fellows introduced to specific sub-sectors and organisations - e.g, Climate, govt. ● Partnered with Angel Association NZ and Fellows to host seven NZ companies in Austin/Denver to hear from startups and innovation experts on raising capital & US market entry ● Partnered with NZTE to host meetings/engagement in the US with the NZ ambassador, potential investors, NZ Cleantech innovators, and Ministerial engagement. ● Impact Springboard online sessions (Feb) to update Fellows on economic/political environment, Māori Economy, and NZ Tax system and NZ/US tax law. ● Curated online sessions with Fellows/NZ leaders. ● Introduction of monthly Spotlights to showcase Fellows and transformative ventures and bring NZ leaders/Fellows together around critical issues/opportunities facing Aotearoa NZ. ● Support of key local events including promoting and supporting Fellow participation	Connection and integration events including: ● 3 x Fellows’ Hui to connect Fellows ● Series of stakeholder in-person events with strategic partners and business days with economic development agencies ● 7 x Virtual Roadshows with economic development agencies connecting Fellows to the regions ● 12 x Live Sessions to support New Zealand businesses and industries and share Fellow expertise 1:1 connecting Fellows to special appointments, advisory, governance and mentoring roles to support Government and the ecosystem. Connected Fellows to Aotearoa NZ - universities, investors, government, agencies, startups - matching demand and skills. Partnered with the Angel Association and Fellows to host 12 NZ companies in San Francisco, to hear from VCs and innovation experts on raising capital and US market entry Partnered with Callaghan Innovation, TechWeek, NZ Angel Association, Ministry of Awesome on initiatives, events, and connections into ecosystem
	Liaise with industry players				
	Support Fellows to actively engage with NZ’s entrepreneurship ecosystem.				

			in TechWeek 11 x Live Sessions online around Web3, workplace learning and cultural transformation, decentralised ID management, regenerative thinking in housing, and AI security.	Provided investment deal flow from Aotearoa NZ and pathways for Fellows to engage with the investment ecosystem.
Reporting				
Commitment	Status	2024	2023	
Performance Monitoring	Achieved	- Delivered to MBIE final Q1 and Q2 reports and final audited reports and financial update - Delivery FY23/24 strategic plan to MBIE - Delivered FY22/23 EHF impact survey results - Delivered FY22/23 Annual Report - Delivered EHF FY23/24 audited results	Provided six-monthly financial updates Delivered quarterly reports highlighting key activity and outcomes Provided annual strategic plan Delivered impact research on Fellows' impact (quantitative and qualitative) - highlighted in 2021/22 Annual Report, and qualitative research with stakeholders Annual Report - delivered October 2022	
Visa and other requirements				
Commitment	Status	2024	2023	
Code of Conduct	In progress	- EHF's Event Code of Conduct including Tikanga Māori distributed and actively applied at the May Welcome Experience. - Online Platform Community Rules continued on all online platforms. - Developed EHF Kawa & Tikanga - protocols and ways of working for Fellows, Board and team, in partnership with Te Āti Awa and Te Kāhui Māori.	EHF Terms of Use for Fellows continued Event Code of Conduct with Tikanga Māori developed and applied Social Media Community Rules continued EHF Values Compass reviewed with plan to integrate and action across Fellowship <i>*Note: In FY23/24 kawa (non-negotiables) will be introduced in partnership with Te Āti Awa</i>	
Support Fellows with Visas: Global Impact Visa (GIV) process; letter of support for Permanent Residence (PRV). Note: GIV pilot programme concluded.	Achieved / Ongoing	1x PRV Support Letter round completed in April, with panel review, with 10 Support Letters issued to Fellows - GIV/PRV support provided to Fellows via online group Q&As, 1:1 support, and email	Personalised support for Fellows' visa applications, and those waiting for borders to re-open (fully) Regular engagement with Immigration NZ around borders and visa processing. 160 Global Impact Visas approved 2 x Permanent Residence support letter processes for Fellows to request a letter of support to apply for Permanent Residence based on activity and support. 21 letters provided. 43 Permanent residence visas granted by Immigration NZ Continuous improvements to the PRV scoring system which is used to determine who receives a letter of support.	

Managing media and significant public comms in partnership with MBIE	Achieved	• Engaged with the Government on the issues of the NZ/US tax regime as an emerging issue of reputational importance to talent attraction.	Proactively engaged with MBIE on public communications and media engagement. Placed positive stories and op-eds highlighting the value of the GIV programme and Fellows' expertise and contributions
Creation of a self-funded delivery model	In progress	• Piloted the first Mission Studio convening and discovery session. Tested this as a fundraising proposition. This initiative was put on hold in Sept 2023. • Ran a successful Annual Donor campaign • Prepared to launch a new annual Fellowship Fee (launch May 2024).	EHF has been actively exploring future business models. This includes systemising the Fellowship Experience, and developing 'The Mission Studio' as a platform for mission-led innovation, focused on climate.

Consolidated Statement of Comprehensive Income & Expenses

The Hillary Institute of International Leadership & Subsidiary Entities

For the year ended 31 March 2024

	NOTES	2024 PARENT	2023 PARENT	2024 GROUP	2023 GROUP
Income					
Donations, Fundraising and Other Similar Revenue	-	-	-	362,648	-
Grant Revenue	-	-	-	-	1,000,000
Interest Income	-	8,887	5,200	58,562	34,740
Investment Income	-	30,622	(1,787)	30,623	(1,787)
Hui Ticket Revenue	-	-	-	2,053	4,092
Revenue from Application Fees	-	-	-	678,717	1,357,434
Total Income		39,509	3,414	1,132,603	2,394,480
Expenses					
Employee Related Costs	8	22,875	42,500	1,057,218	1,174,181
Marketing, Business Development & Events	8	3,426	3,235	191,948	206,182
Depreciation	8	62	101	679	1,467
Administration & Overhead Costs	8	61,518	143,230	250,357	318,657
Other Expenses	8	-	-	6	(296)
Income Tax Expense	8	-	-	-	-
Total Expenses		87,881	189,066	1,500,208	1,700,191
Net Profit (Loss) Before Taxation & Foreign Exchange		(48,372)	(185,652)	(367,605)	694,288
Foreign Exchange					
Foreign Currency Losses (Gains)	8	0	0	(7,186)	(107,416)
Total Foreign Exchange	-	-	-	(7,186)	(107,416)

Consolidated Statement of Changes in Net Assets

The Hillary Institute of International Leadership & Subsidiary Entities

For the year ended 31 March 2024

	2024 PARENT	2023 PARENT	2024 GROUP	2023 GROUP
Trust Capital				
Opening Balance	375,498	561,150	1,610,450	808,745
Increases				
Prior Period Adjustments	-	-	(6,089)	-
Trustees Income for the Period	-	-	-	801,705
Total Increases	-	-	(6,089)	801,705
Decreases				
Recognition of Control Over Edmund Hillary Fellowship Limited	-	-	-	-
Trustees Loss for the Period	48,372	185,652	360,419	-
Total Decreases	48,372	185,652	360,419	-
Total Trust Capital	327,126	375,498	1,243,942	1,610,450

Consolidated Statement of Financial Position

The Hillary Institute of International Leadership & Subsidiary Entities
As at 31 March 2024

	NOTES	2024 PARENT	2023 PARENT	2024 GROUP	2023 GROUP
Assets					
Current Assets					
Cash and Bank	6	34,096	71,478	148,301	1,574,719
RSF Finance		-	-	271,259	-
The Gift Trust		324,583	-	922,075	-
Accounts Receivable		-	-	-	2,100
GST Receivable		952	2,758	6,592	22,239
Income Tax Receivable		-	-	-	2,478
Prepayments		-	-	2,628	4,971
Term Deposits	6	-	51,491	-	51,491
Total Current Assets		359,631	125,727	1,350,855	1,657,997
Non-Current Assets					
Property, Plant and Equipment	3	194	256	502	1,181
The Gift Trust		-	288,885	-	860,209
Total Non-Current Assets		194	289,141	502	861,389
Total Assets		359,825	414,867	1,351,357	2,519,386
Liabilities					
Current Liabilities					
Accounts Payable		32,699	39,369	67,672	180,140
Holiday Pay Accrued		-	-	39,743	50,080
Income in Advance		-	-	-	678,717
Total Current Liabilities		32,699	39,369	107,415	908,936
Total Liabilities		32,699	39,369	107,415	908,936
Net Assets		327,126	375,498	1,243,942	1,610,450
Trust Capital					
Accumulated Funds		327,126	375,498	1,243,942	1,610,450
Total Trust Capital		327,126	375,498	1,243,942	1,610,450

Consolidated Statement of Cashflows

The Hillary Institute of International Leadership & Subsidiary Entities
For the year ended 31 March 2024

	2024 PARENT	2023 PARENT	2024 GROUP	2023 GROUP
Statement of Cashflows				
Cash Flows from Operating Activities Cash was Provided From:				
Application Fees	-	-	-	-
Catalyst Revenue	-	-	-	-
Donations & Fundraising	-	-	91,389	1,004,092
Interest Income	3,811	3,984	27,318	33,523
GST Received	2436	289	17,866	-
Services	-	-	2,053	-
Total Cash was Provided From:	6,247	4,273	138,626	1,037,615
Cash was Distributed to:				
Goods & Service Tax Payments	-	-	-	46
Income Tax Payments	-	-	-	2,367
Payments to Suppliers & Employees	95,119	160,588	1,616,534	1,511,150
Total Cash was Distributed To:	95,119	160,588	1,616,534	1,513,563
Net Cash Flows from Operating Activities	(88,872)	(156,315)	(1,477,908)	(475,947)
Cash Flows from Investing and Financing Activities Cash was Received				
Receipts from Sale of Property, Plan and Equipment & Intangibles	-	-	-	-
Receipts from the Gift Trust	51,490	72,999	51,490	64,247
Sale of Term Deposits	-	-	-	-
Total Cash was Received From:	51,490	72,999	51,490	64,247
Cash was Distributed To:				
Purchase of Term Deposits				
Purchase of The Gift Trust				
Purchase Property, Plant and Equipment & Intangibles				1,539
Total Cash was Distributed To:				1,539
Net Cash Flows From Investing and Financing Activities	51,490	72,999	51,490	62,708
Net Increase (Decrease) in Cash	(37,382)	(83,316)	(1,426,418)	(413,239)
Cash and Bank				
Opening Balance	71,478	154,794	1,574,719	1,987,958
Net Increase (Decrease) in Cash	(37,382)	(83,316)	(1,426,418)	(413,239)
Total Cash and Bank	34,096	71,478	148,301	1,574,719

Notes to the Consolidated Financial Statements

The Hillary Institute of International Leadership & Subsidiary Entities
For the year ended 31 March 2024

1. Statement of Accounting Policies

(a) Basis of Preparation

The Hillary Institute of International Leadership has elected to apply PBE SFR-A (NFP) Public Benefit Entity Simple Format Reporting - Accrual (Not-For-Profit) on the basis that it does not have public accountability and has total annual expenses of equal to or less than \$2,000,000. All transactions in the Performance Report are reported using the accrual basis of accounting. The Performance Report is prepared under the assumption that the entity will continue to operate in the foreseeable future.

Entities Reporting

The Financial Statements for the "Parent" are for The Hillary Institute of International Leadership as a separate legal entity. The consolidated Financial Statements for the "Group" are for the economic entities comprising The Hillary Institute of International Leadership, and the Edmund Hillary Fellowship Limited, a wholly owned subsidiary.

Statutory Basis

The Institute is a registered charitable trust under Charities Act 2005 and the Charitable Trust Act.

The Edmund Hillary Fellowship Limited is a Company registered under the Companies Act 1993, and a registered charity (# 6112633). The Group is a reporting entity for the purposes of the Financial Reporting Act 2013, which they have fully complied with.

Accounting Policies

All accounting policies are consistent with those used in the previous year except for deregistration from income tax and the treatment of Investment Gains/Losses (refer Goods and Services Tax and Interest Income & Managed Funds Gains (Losses) Notes). The Financial Statements have been prepared on an accruals basis.

Going Concern Assumption

These Financial Statements have been prepared on a going concern basis.

Measurement Basis

The financial statements are prepared on a historical cost basis.

Presentation Currency

These Financial Statements are presented in New Zealand Dollars and rounded to the nearest dollar.

Foreign Currencies

Transactions in foreign currencies are converted at the New Zealand rate of exchange ruling at the date of the transaction. At balance date foreign monetary assets and liabilities are translated at the closing rate and variations arising from those transactions are included in the statement of profit or loss.

(b) Principles of Consolidation

The consolidated Financial Statements incorporate the assets and liabilities of The Hillary Institute of International Leadership as at 31 March 2024 and the results of all subsidiaries for the year ended 31 March 2024. The Hillary Institute of International Leadership and its subsidiaries are referred to in these Financial Statements as the Group of the consolidated entity.

The Group has elected to step up to PBE IPSAS RDR disclosure standards and apply PBE IPSAS 35 *Consolidated Financial Statements* and PBE IPSAS 38 *Disclosure of Interests in Other Entities*.

Subsidiaries which form part of the Group are consolidated from the date on which control is transferred to the Parent. They are de-consolidated from the date that control ceases. Control of the Edmund Hillary Fellowship Limited transferred to The Hillary Institute of International Leadership on 1 April 2021.

The acquisition method of accounting is used to account for business combinations by the Group. The consideration transferred for the acquisition of a subsidiary is the fair value of the assets transferred, the liabilities incurred, and the equity interest issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Acquisition related costs are expensed as incurred.

Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair value at the acquisition date. On an acquisition-by-acquisition basis, the Group recognises any non-controlling interest in the acquiree either at fair value or at the non-controlling interest's proportionate share of the acquiree's net assets.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the Group's share of the identifiable net assets acquired is recorded as Goodwill. If this is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in the Statements of Financial Performance.

(i) Goods and Services

Revenue comprises the amounts received and receivable for goods and services supplied to customers in the ordinary course of business.

(ii) Application Fees, Acceptance Fees & Sales to the Public

Application and acceptance fees are accrued and released to the Statements of Financial Performance as income over the period the fees relate to. Sales to the public are recognised in the Statements of Financial Performance as received. There were no application and acceptance fees received for the year ended 31 March 2024.

During the year to 31 March 2024, acceptance fees have been released and recognised as revenue in accordance with service delivery of the Global Impact Visa agreement and timeframe, which expired 30 September 2023.

(iii) Interest Income

Interest income is recognised on a time proportion basis using the effective interest rate method.

(iv) Grants and Donations

Grants and donations received are recognised in the Statements of Financial Performance when the requirements under agreements have been met. Any amount for which the requirements under the agreements have not been completed are carried as liabilities until all the conditions have been fulfilled.

(v) Other Income

Other income is recognised in the period in which it is earned.

(d) Cash and Cash Equivalents

Cash and cash equivalents include cash on hand, deposits held on call with financial institutions, other short term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

(e) Property, Plant and Equipment

The cost of purchased property, plant and equipment is the value of the consideration given to acquire the assets and the value of other directly attributed costs which have been incurred in bringing the assets to the location and condition necessary for their intended service.

Property, plant and equipment is stated at historical cost less depreciation and impairment. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Parent and Group and the cost of the item can be measured reliably. All repairs and maintenance are charged to the Statements of Financial Performance during the financial period in which they are incurred. Land is not depreciated.

(f) Depreciation

Depreciation of property, plant and equipment, is calculated to write off the cost of the assets over their estimated useful lives at the following rates:

Account	Method	Rate
Capitalised Website Development Costs	Straight Line	40%
Computer Equipment	Straight Line	40%
Office Equipment	Diminishing Value	50%
Plant & Equipment	Diminishing Value	15%
Website Domain Names	No Depreciation	

(g) Accounts Receivable

Accounts Receivable are recognised initially at fair value and subsequently measured at amortised cost, less provision for doubtful debts. Collectability of receivables is reviewed on an ongoing basis. Debts which are known to be uncollectible are written off. A provision for doubtful receivables is established when there is objective evidence that the Parent and Group will not be able to collect all amounts due according to the original terms of receivables. The amount of the provision is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the effective interest rate.

(h) Investments

Investments in subsidiaries and associates are recorded in the Statements of Financial Position of the Parent at cost less impairment losses.

(i) Impairment of Non-Financial Assets

Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value the asset.

(j) Accounts Payable

Accounts Payable and other payables represent liabilities for goods and services provided to the Parent and Group prior to the end of the financial year which are unpaid at balance date. The amounts are unsecured and are usually paid within 30 days of recognition. Accounts Payable are recognised initially at fair value and are subsequently measured at amortised cost using the effective interest method.

(k) Employee Entitlements

Liabilities for wages and salaries, including non-monetary benefits, annual leave, to be settled within 12 months of the reporting date are recognised as current liabilities in respect of employees' services up to the reporting date and are measured at the amounts expected to be paid when the liabilities are settled.

(l) Goods and Services Tax (GST)

The entity is registered for GST. The Statements of Financial Performance have been prepared so that all components are stated exclusive of GST. All items in the Statements of Financial Position are stated net of GST, with the exception of receivables and payables, which include GST invoiced.

(m) Income Tax

The Parent and Group are exempt from tax under the Income Tax Act 2007. The Parent and Group are registered charities with the Charities Commission and have approved charitable status with the Inland Revenue Department.

(r) Managed Investments

Long term investments comprise gift accounts managed by The Gift Trust. Gift accounts consist of endowments received which were then pooled into either term deposits or a socially responsible investment fund. The gift account was initially held at cost and subsequently measured at fair value. Subsequent to initial recognition, any changes in fair value are recognised in the Statement of Financial Performance.

(p) Statements of Cash Flows

The Statements of Cash Flows are prepared exclusive of Goods and Services Tax (GST), which is consistent with the method used in the Statements of Financial Performance. Cash and cash equivalents comprise cash on hand and demand deposits, and other short term, highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value and includes all call borrowing such as bank overdrafts used by the Trust as part of their day-to-day cash management.

Operating activities represent all transactions and other events that are not investing or financing activities, and include receipts and repayments of occupancy advances.

Investing activities are those activities relating to the acquisition and disposal of property, plant and equipment. Financial activities are those activities relating to changes in the debt capital structure of the Group.

(q) Accounting Estimates

The Institute and Group make estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The main estimates are depreciation of property, plant and equipment and accruals.

2. Changes in Accounting Policies

There have been no changes in Accounting Policies. In the Statement of Financial Performance, income and expenses have been reported on a functional basis.

3. Investments in Subsidiaries

The consolidated Financial Statements incorporate the assets, liabilities and results of the following subsidiaries in accordance with the accounting policy described in note 1(a): All subsidiaries are incorporated in New Zealand.

The Hillary Institute of International Leadership (HI) 100% owned - Executive Officers have the power to make decisions including appointing and removing Trustees. The balance date is 31 March. Their Financial Statements are audited by Moore Markhams Wellington Audit.

Edmund Hillary Fellowship Limited (EHF) - 100% owned by The Hillary Institute of International Leadership. The balance date is 31 March. Their Financial Statements are audited by Moore Markhams Wellington Audit.

4. Bank Accounts

At Balance Date the Group had a total of \$148,301 (2023: \$1,574,688) held in Cash, Bank Accounts and Term Deposits which comprised the following:

	Parent	Group	Parent	Group
	This Year	This Year	Last Year	Last Year
Cash on Hand				
Cash and Cash Equivalents	100	100	100	100
	100	100	100	100
Bank Accounts				
Capital Accounts	15,196	15,196	50,986	50,986
Cheque Accounts	12,644	23,115	7,336	133,858
Current Accounts	6,156	6,156	-	-
On Call Accounts	-	103,734	13,055	1,389,744
GBP Accounts	(1)	-	-	-
USD Accounts	-	-	-	-
	33,995	148,201	71,378	1,574,588
				-
Total Cash and Bank	34,095	148,301	71,478	1,574,688
Term Deposits				-
Bank of New Zealand - Term Deposits	-	-	51,491	51,491
	-	-	51,491	51,491
				-
	34,095	148,301	122,969	1,626,179

5. Related Party Disclosures

All members of the Group are considered to be related parties of The Hillary Institute of International Leadership (HI).

The Hillary Institute of International Leadership (HI) owns all of the 100 issued shares in Edmund Hillary Fellowship Limited (EHF). During the year, no donation was made by EHF (2023: \$Nil) to HI.

	2024 PARENT	2023 PARENT	2024 GROUP	2023 GROUP
8. Analysis of Expenses				
Employee Related Costs				
Executive Services	22,875	42,500	22,875	42,500
Contracted Services	-	-	125,441	233,057
Wages & Salaries	-	-	908,902	898,624
Total Employee Related Costs	22,875	42,500	1,057,218	1,174,181
Marketing, Business Development & Events				
Advertising & Marketing	-	446	-	446
Business Development	2,385	2,789	2,385	2,789
Event Expenses	1,041	-	189,562	202,947
Total Marketing, Business Development & Events	3,426	3,235	191,947	206,182
Depreciation				
Depreciation	62	301	679	1,467
Total Depreciation	62	301	679	1,467
Administration & Overhead Costs				
Board Costs	37,000	93,270	37,000	93,270
Office Rent	3,200	5,200	11,246	18,981
Professional Services	13,531	19,704	120,509	84,397
Software & Other Subscriptions	455	465	19,559	14,413
Travel	5,557	16,992	40,970	54,963
Other	1,774	7,600	21,073	52,634
Total Administration & Overhead Costs	61,517	143,230	250,357	318,657
Other Expenses				
Bad Debt	-	-	-	(298)
Interest Expense	-	-	6	2
Total Other Expenses	-	-	6	(296)
Foreign Exchange				
Foreign Currency Losses (Gains)	-	-	(7,186)	(107,416)
Total Foreign Exchange	-	-	(7,186)	(107,416)

Tax Expense

Income Tax Expense	-	-	-	-
Total Tax Expense	-	-	-	-

9. Contingent Liabilities and Capital Commitments

There are no contingent liabilities, guarantees or commitments as at balance date (2023: Nil)

Independent auditor's report

To the Trustees of The Hillary Institute of International Leadership & Subsidiary

Opinion

We have audited the accompanying consolidated financial statements of The Hillary Institute of International Leadership & Subsidiary (the Group) on pages 4 to 21, which comprises the entity information, the statement of service performance, the consolidated statement of comprehensive income & expenses, the consolidated statement of changes in net assets, the consolidated statement of cash flows for the year ended 31 March 2024, the consolidated statement of financial position as at 31 March 2024, and the statement of accounting policies and notes to the consolidated financial statements.

In our opinion:

- a) the reported outcomes and outputs, and quantification of the outputs to the extent practicable, in the statement of service performance are suitable
- b) the accompanying consolidated financial statements presents fairly, in all material respects:
 - the entity information for the year then ended
 - the service performance for the year then ended, and
 - the consolidated financial position of the Group as at 31 March 2024, and its consolidated comprehensive income & expenses, the consolidated statement of changes in net assets, and consolidated cash flows for the year then ended

in accordance with Public Benefit Entity Simple Format Reporting – Accrual (Not-For-Profit) issued by the New Zealand Accounting Standards Board.

Basis for Opinion

We conducted our audit of the consolidated statement of comprehensive income & expenses, consolidated statement of changes in net assets, consolidated statement of financial position, consolidated statement of cash flows, statement of accounting policies and notes to the consolidated financial statements in accordance with International Standards on Auditing (New Zealand) (ISAs (NZ)), and the audit of the entity information and statement of service performance in accordance with the ISAs (NZ) and New Zealand Auditing Standard (NZ AS) 1 (Revised) *The Audit of Service Performance Information*. Our responsibilities under those standards are further described in the 'Auditor's responsibilities for the audit of the financial statements' section of our report.

We are independent of the Group in accordance with Professional and Ethical Standard 1 (Revised) 'Code of ethics for assurance practitioners' issued by the New Zealand Auditing and Assurance Standards Board, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other than our capacity as auditor we have no relationship with, or interests in, the Group.

Board's responsibilities for the consolidated financial statements

The Board are responsible on behalf of the Group for:

- a) Identifying outcomes and outputs, and quantifying the outputs to the extent practicable, that are relevant, reliable, comparable and understandable, to report in the statement of service performance
- b) the preparation and fair presentation of the consolidated financial statements on behalf of the Group which comprises:
 - the entity information
 - the consolidated statement of service performance; and
 - the consolidated statement of comprehensive income & expenses, consolidated statement of changes in net assets, consolidated statement of financial position, consolidated statement of cash flows, statement of accounting policies and notes to the consolidated financial statements in accordance with Public Benefit Entity Simple Format Reporting – Accrual (Not-For-Profit) issued by the New Zealand Accounting Standards Board, and
- c) for such internal control as the Board determine is necessary to enable the preparation of the financial statements that is free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the Board are responsible on behalf of the Group for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (NZ) and NZ AS 1 (Revised) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the decisions of users taken on the basis of the financial statements.

As part of an audit in accordance with ISAs (NZ) and NZ AS 1 (Revised) we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of the use of the going concern basis of accounting by the Board and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represents the underlying transactions and events in a manner that achieves fair presentation.
- Perform procedures to obtain evidence about and evaluate whether the reported outcomes and outputs, and quantification of the outputs to the extent practicable, are relevant, reliable, comparable and understandable.

We communicate with the Board regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

This report is made solely to the trustees of the Group. Our audit has been undertaken so that we might state to the trustees those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the trustees, for our audit work, for this report, or for the opinions we have formed.

Moore Markhams

Moore Markhams Wellington Audit | Qualified Auditors, Wellington, New Zealand
7 October 2024